

with our nature than others that are subtle, and require a “continuous exercise of self-restraint.”⁶⁵

Let’s consider the old rule of restricting yourself to a maximum number of units of alcohol a week. It demands constant vigilance. It often requires you to stop drinking while drunk. And it is fiendishly easy to cheat: you simply convince yourself that a 25cl glass of 14.7 percent Chilean Merlot is one unit when it is really three. Better men than us have deceived themselves this way: Immanuel Kant rationed himself to one pipe of tobacco after breakfast; he stuck to his rule, but friends noticed that by the end of his life, all his pipes were enormous.

Sutherland’s observation applies equally to investing. Value investors follow a simple algorithm that states something like the following: *Buy if market price is equal to or less than some fixed discount from intrinsic value. Sell if market price is equal to or exceeds intrinsic value.* Graham’s net current asset value rule for acquiring sub-liquidation stocks is an example of such a simple, unambiguous investment strategy; simple to calculate, with concrete rules for its application. Graham recommended it as a “foolproof method of systematic investment—once again, not on the basis of individual results but in terms of the expectable group outcome.”⁶⁶ The net current asset value calculation couldn’t be simpler: *Net current asset value equals current assets less all liabilities.* And the rules couldn’t be more concrete: *Buy if market price is two-thirds of net current asset value or less. Sell if market price has risen 50 percent, or two years have elapsed since acquisition, whichever occurs first.* As we’ve seen, the returns to the net current asset value rule are astronomical. The problem with it is that it is very limited in its application. Few stocks pass its “buy” criteria in an ordinary market. It is possible, however, to apply the underlying *philosophy* without employing the actual rule. We can calculate intrinsic value in any number of ways, and apply the same directive. This is all that is meant by a statistical prediction rule. At root, it is simply an exhortation to adhere strictly to the philosophy of value investment: Buy only if market price is some fixed discount from intrinsic value or less, pass otherwise. Sell only if market price is equal to or greater than intrinsic value, or a better opportunity can be found, hold otherwise.

Resistance to the application of statistical prediction rules in value investment runs deep. Many investors recoil at the thought of ceding control of investment decisions to a statistical model, believing that it would be better to use the output from the statistical prediction rule and retain the discretion to follow the rule’s output or not. There is some evidence to support this possibility. Traditional experts are shown to make better decisions